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Unit 12

FINAL ACCOUNTS OF SOLE PROPRIETORS - I

Contents

12.1 Introduction to final accounts
12.2 Closing entries and Opening entry
12.3 Trading account
12.4 Profit and Loss account
12.5 Balance sheet
12.6 Differences between trial balance and balance sheet

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Learning Objectives

To enable the students to

- Understand the meaning of final accounts and the purpose they serve
- Prepare trading and profit and loss account and balance sheet

Points to recall

Following points are to be recalled before learning final accounts of sole proprietors - I:

- Accounting process
- Trial balance
- Dual aspect concept, Historical cost concept, Periodicity concept and Matching concept
- Differences between capital expenditure and revenue expenditure
- Differences between capital receipts and revenue receipts

Key terms to know

- Final accounts
- Financial statements
- Income statement
- Trading account
- Profit and loss account
- Cost of goods sold
- Gross profit
- Net profit
- Financial position
- Balance sheet